

Report Part Title: IMPLICATIONS FOR U.S.-CHINA STRATEGIC DYNAMICS

Report Title: The Chinese People’s Liberation Army in 2025

Strategic Studies Institute, US Army War College (2015)

Stable URL: <http://www.jstor.com/stable/resrep12093.14>

JSTOR is a not-for-profit service that helps scholars, researchers, and students discover, use, and build upon a wide range of content in a trusted digital archive. We use information technology and tools to increase productivity and facilitate new forms of scholarship. For more information about JSTOR, please contact support@jstor.org.

Your use of the JSTOR archive indicates your acceptance of the Terms & Conditions of Use, available at <https://about.jstor.org/terms>



Strategic Studies Institute, US Army War College is collaborating with JSTOR to digitize, preserve and extend access to this content.

JSTOR

CHAPTER 11

IMPLICATIONS FOR U.S.-CHINA STRATEGIC DYNAMICS

Robert Sutter

I would like to thank Lincoln Hines of National Bureau of Asian Research, who provided effective research assistance for this article.

INTRODUCTION

Prediction of future U.S.-Chinese relations over the course of 15 years requires prudence to avoid gross miscalculations. Prudence requires a close look at what can be learned from the development of the relationship up to the present. Careful examination of the recent context of U.S.-Chinese relations highlights factors that determine recent behavior. These determinants have a long history. The likelihood that they will be upset in future years is offset by several realities: the United States and China are very large countries—the largest in the world; their leaders have long-standing priorities; and they exert great and often dominant influence as they interact with lesser powers. The latter countries like Japan, India, Taiwan, and North Korea plausibly could take actions that upset the recent trajectory of U.S.-Chinese relations, but it is more likely that much stronger America and China will shape those lesser powers. Extreme developments such as regime disintegration, international economic collapse or major war also could seriously disrupt U.S.-Chinese relations, but chances seem much more probable that relations will be governed by factors that have shaped them up to now.

FRAGILE BUT ENDURING STRATEGIC EQUILIBRIUM

The end of the Soviet Union and the Cold War destroyed the strategic framework for the Sino-American cooperation initiated by U.S. President Richard Nixon and Chinese Chairman Mao Zedong. Sometimes dramatic crises since that time have seen policymakers, strategists, and scholars in both the United States and China register concern and sometimes alarm over potential conflict. Major turning points included:

- The multiyear virulent popular and elite American opposition to Chinese leaders responsible for the crackdown against demonstrators in Tiananmen Square in 1989.
- The face-off of U.S.-Chinese forces as a result of the Taiwan Straits crisis of 1995-96.
- The crisis in 1999 prompted by the U.S. bombing of the Chinese embassy in Belgrade and resulting mass demonstrations and destruction of U.S. diplomatic properties in China.
- The crash in 2001 of a Chinese fighter jet and a U.S. reconnaissance plane over international waters near China and the resulting crisis over responsibility for the incident and release of the American crew and damaged plane that made an emergency landing in China.
- The explicit and growing U.S.-Chinese competition of influence in Asia featuring U.S. President Barack Obama administration's so-called pivot or rebalancing policy to the Asia Pacific coincident with greater Chinese assertiveness in dealing with differences with the United States and its allies and associates over issues of sovereignty and security along China's rim.¹

In 2012, growing Chinese-U.S. competition in Asia headed the list of issues that challenged the abilities of Chinese and American leaders to manage their differences, avoid confrontation, and pursue positive engagement. Competition for influence along China's rim and in the broader Asia-Pacific region exacerbated an obvious security dilemma featuring China's rising power and America's reaction, shown notably in the two sides' respective military build-ups.

Hyperbolic attacks on Chinese economic and security policies were features of the Republican presidential primaries. President Obama also resorted to harsh rhetoric, calling China an "adversary." He highlighted his administration's reengagement with countries in the Asia-Pacific region as a means to compete with China in security, economic, and other terms.²

China demonstrated state power, short of direct use of military force, in response to perceived challenges by U.S. allies, the Philippines, and Japan, regarding disputed territory in the South China Sea and the East China Sea. Top Chinese leaders criticized American dealing with the disputed claims and also highlighted regional trade arrangements that excluded the United States, seeking to undermine the American-led Trans-Pacific Partnership (TPP) trade pact.³

Kenneth Lieberthal and Wang Jisi highlighted pervasive and deeply rooted distrust between the two governments.⁴ David Shambaugh concluded that the overall U.S.-China relationship was "more strained, fraught and distrustful." Intergovernmental meetings meant to forge cooperation were becoming more pro-forma and increasingly acrimonious, he said. The two sides wrangle over trade and investment issues, technology espionage and cyber hacking, global governance challenges like climate change and Syria,

nuclear challenges like Iran and North Korea, and their security postures and competition for influence in the Asia-Pacific.⁵

Unexpectedly, increased competition and tension in Sino-American relations in 2012 was followed by the California summit in June 2013 and an overall moderation in Sino-American differences. These developments supported conclusions regarding realities seen by a number of American and Chinese experts as defining the current overall strategic equilibrium in the relationship. The experts averred that the equilibrium was characterized by many areas of convergence and divergence amid changing calculations of interests influenced by changing circumstances. Nonetheless, prevailing trends including the constraints on both powers explained below, showed that avoiding serious confrontation and endeavoring to manage differences through a process of constructive engagement remains in the overall interests of both countries.⁶ There are three general reasons for this judgment:

1. Both administrations benefit from positive engagement. It supports stability in the Asia-Pacific, a peaceful Korean peninsula, and a peaceful settlement of the Taiwan issue. It fosters global peace and prosperity, advances world environmental conditions, and deals with climate change and nonproliferation of weapons of mass destruction.

2. Both administrations see that ever growing China-U.S. interdependence means that emphasizing the negatives in their relationship will hurt the other side but also will hurt them.

3. Both leaderships are preoccupied with a long list of urgent domestic and foreign priorities; in this situation, one of the last things they would seek is a serious confrontation in relations with one another.

Looking out, few foresee the Obama administration well served, with a more assertive U.S. stance leading to a major confrontation with China. Indeed, the U.S. Government reached out to President Xi Jinping and the new Chinese leadership in holding the California summit and seeking greater engagement through senior level interchange in cabinet-level visits and structured dialogues. Its criticism of Chinese economic practices adverse to American interests remains measured. It has responded firmly when Chinese actions over disputed territory along its maritime rim escalate tensions and endanger stability, underlining America's commitments to regional stability and the status quo. Its posture on the preeminent issue of Taiwan has been supportive of Taiwan President Ma Ying-jeou's reassurance of and greater alignment with China.⁷

Comprehensive treatment requires consideration of possible serious shifts in American policy leading to greater tension in U.S.-Chinese relations. Those possibilities are considered below, but they seem much less likely and important than the more immediate consequences of China's growing assertive role in the Asia-Pacific and what that means for U.S.-Chinese cooperation or conflict. As argued in the next sections, such Chinese assertiveness will remain troublesome but probably will be held in check, allowing pragmatic U.S.-Chinese engagement to endure for the period of this assessment.

CHINA'S TOUGHER STANCE IN THE ASIA-PACIFIC

China's tough stand on maritime territorial disputes evident in the 2012 confrontations with the Philippines in the South China Sea and with Japan in the

East China Sea has endured through China's leadership transition and now marks an important shift in China's foreign policy with serious implications for China's neighbors and concerned powers, including the United States.⁸ China's success in advancing its claims against the Philippines and in challenging Japan's control of disputed islands head the list of reasons why the new Chinese policy is likely to continue and perhaps intensify in the future.

Concerned governments recognize that China's "win-win" formula emphasizing cooperation over common ground is premised on the foreign government eschewing actions acutely sensitive to China over Taiwan, Tibet, and Xinjiang, and that the scope of Chinese acute sensitivity had now been broadened to include the maritime disputes along China's rim. They have been required to calibrate more carefully their actions related to disputed maritime territories. Unfortunately, the parameters of China's acute concerns regarding maritime claims remain unclear. Meanwhile, the drivers of China's new toughness on maritime disputes include rising patriotic and nationalist sentiment in Chinese elite and public opinion and the growing capabilities in Chinese military, coast guard, fishery, and oil exploration forces. The latter are sure to grow in the coming years, foreshadowing greater Chinese willingness to use coercion in seeking advances in nearby seas.

For now, a pattern of varied regional acquiescence, protests, and resistance to China's new toughness on maritime claims seems likely. It raises the question about future Chinese assertiveness, challenging neighboring governments with disputes over Chinese claims, and challenging American leadership in promoting stability and opposing unilateral and coercive means to change the regional status quo.

There are forecasts of inevitable conflict between the United States and China as they compete for influence in the Asia-Pacific or of a U.S. retreat in the Asia-Pacific in the face of China's assertiveness.⁹ Such forecasts are offset in this writer's opinion by circumstances in China and abroad that will continue to constrain China's leaders. The circumstances are seen to hold back Chinese leaders even if they, like much of Chinese elite and public opinion, personally favor a tough approach in order to secure interests in the Asia-Pacific.

CONSTRAINTS ON CHINESE ASSERTIVENESS

There are three sets of constraints on Chinese tough measures in foreign affairs related to the United States that are strong and are unlikely to diminish in the foreseeable future.

Domestic Preoccupations.¹⁰

The Chinese leaders want to sustain one-party rule, and to do so, they require continued economic growth which advances the material benefits of Chinese people and assures general public support and legitimacy for the Communist government. Such economic growth and continued one-party rule require stability at home and abroad, especially in nearby Asia where conflict and confrontation would have a serious negative impact on Chinese economic growth. At the same time, the need for vigilance in protecting Chinese security and sovereignty remains among the top leadership concerns as evidenced by the long and costly build-up of military forces to deal with a Taiwan contingency involving the United States and

more recent use of various means of state power to advance territorial claims in nearby disputed seas. There is less clarity as to where Chinese international ambitions for regional and global leadership fit in the current priorities of the Beijing leaders, but there is little doubt that the domestic concerns get overall priority.

Domestic concerns preoccupying President Xi Jinping leadership involve:

- weak leadership legitimacy highly depends on how the leaders' performance is seen by popular and elite opinion at any given time;
- pervasive corruption viewed as sapping public support and undermining administrative efficiency;
- income gaps posing challenges to the Communist regime ostensibly dedicated to advancing the disadvantaged;
- social turmoil reportedly involving 100,000-200,000 mass incidents annually that are usually directed at government officials and/or aspects of state policies; managing such incidents and related domestic control measures involve budget outlays greater than China's impressive national defense budget;
- highly resource intensive economy (e.g., China uses four times the amount of oil to advance its economic growth to a certain level than does the United States); enormous and rapidly growing environmental damage results;
- need for major reform of an economic model in use in China for over 3 decades that is widely seen to have reached a point of diminishing returns.

The Chinese leadership set forth in November 2013 an ambitious and wide ranging agenda of economic and related domestic reforms. How more than 60 measures set forth for reform will be implemented and how they will be made to interact effectively with one another are widely seen to require strong and sustained efforts of top Chinese leaders, probably for many years.¹¹ Under these circumstances, those same leaders would seem reluctant to seek confrontation with the United States. Xi's accommodation of President Obama in meeting in California in 2013, and his leadership's continued emphasis on the positive in U.S.-China relations in seeking a new kind of major power relationship underlines this trend. Xi has presided over China's greater assertiveness on maritime territorial issues that involve the United States, but, thus far, the Chinese probes generally have been crafted to avoid direct confrontation with the superpower.

Strong Interdependence.

The second set of limits on Chinese tough measures leading to serious tensions with the United States involves ever growing interdependence in U.S.-Chinese relations. At the start of the 21st century, increasing economic interdependence reinforced each government's tendency to emphasize the positive and pursue constructive relations with one another. A pattern of dualism in U.S.-China relations featured constructive and cooperative engagement on the one hand, and contingency planning or hedging on the other. It reflected a mix of converging and competing interests and prevailing leadership suspicions and cooperation.

Reflecting the dualism, each government used engagement to build positive and cooperative ties while

at the same time seeking to use these ties to build interdependencies and webs of relationships that had the effect of constraining the other power from taking actions that oppose its interests. The Council on Foreign Relations was explicit about this approach in a book entitled *Weaving the Net*, arguing for engagement that would over time compel changes in Chinese policies in accord with norms supported by the United States. While the analogy is not precise, the policies of engagement pursued by the United States and China toward one another featured respective “Gulliver strategies” that were designed to tie down aggressive, assertive, or other negative policy tendencies of the other power through webs of interdependence in bilateral and multilateral relationships.¹²

Chinese leaders also are seen as continuing to hedge their bets as they endeavor to persuade the United States and other important world powers of China’s avowed determination to pursue the road of peace and development. New Chinese diplomatic and international activism and positivism not only foster a positive and beneficent image for China; they serve an important practical objective of fostering norms and practices in regional and international organizations and circumstances that create a buffer against suspected U.S. efforts to “contain” China and to impede China’s rising power. Roughly consistent with the image of the “Gulliver strategy” noted earlier, they foster webs of interdependent relationships that tie down and hamper unilateral or other actions by the U.S. superpower that could intrude on important Chinese interests in Asian and world affairs.¹³

Both sides have become increasingly aware of how their respective interests are tied to the well-being and success of the other, thereby limiting the tendency of

the past to apply pressure on one another. In effect, interdependence has worked to constrain both sides against taking forceful action against each other.

China's Insecurity in the Asia-Pacific.

China's insecure position in the Asia-Pacific region poses the third set of constraints on Chinese tough measures against the United States. Nearby Asia is the world area where China has always exerted greatest influence and where China devotes the lion's share of foreign policy attention. It contains security and sovereignty issues (e.g., Taiwan) of top importance. It is the main arena of interaction with the United States. The region's economic importance far surpasses the rest of the world (China is Africa's biggest trader, but it does more trade with South Korea). Stability along the rim of China is essential for China's continued economic growth—the lynchpin of leadership legitimacy and continued Communist rule. Given the previous discussion, without a secure foundation in nearby Asia, China will be inclined to avoid serious confrontation with the United States.¹⁴

Among Chinese strengths in the Asia-Pacific region are:

- China's position as the leading trading partner with most neighboring countries and the heavy investment many of those countries make in China;
- China's growing web of road, rail, river, electric power, pipeline, and other linkages promoting economic and other interchange with nearby countries.

- China's prominent leadership attention and active diplomacy in interaction with neighboring countries, both bilaterally and multilaterally;
- China's expanding military capabilities.

Nevertheless, these strengths are offset by various weaknesses and limitations. Some Chinese practices alienate near-by governments, which broadly favor key aspects of U.S. regional leadership. Leadership in the region involves often costly and risky efforts to support common goods involving regional security and development. Chinese behavior shows a well-developed tendency under the rubric of the ubiquitous "win-win" formula to avoid risks, costs, or commitments to the common good unless there is adequate benefit for a narrow win-set of tangible Chinese interests.¹⁵ A major reason for China's continued reluctance to undertake costs and commitments for the sake of the common goods of the Asia-Pacific and broader international affairs is the long array of domestic challenges and preoccupations faced by Chinese leaders.

Chinese assertiveness toward several neighbors and the United States have put nearby governments on guard and weakened Chinese regional influence. They have reminded China's neighbors that the 60-year history of the People's Republic of China (PRC) has, much more often than not, featured China acting in disruptive and domineering ways in the region.¹⁶

China's success in reassuring neighbors and advancing influence in the Asia-Pacific in the post-Cold War period—a period now extending almost 25 years—is mediocre. China faces major impediments, many home grown. China's long-standing practice of building an image of consistent and righteous behavior in foreign affairs blocks realistic policies, especially when

dealing with disputes and differences with neighbors and the United States. Most notably, the Chinese government has the exceptional position among major powers as having never acknowledged making a mistake in foreign policy. As a result, when China encounters a dispute with neighbors, the fault never lies with China. If Beijing chooses not to blame the neighbor, its default position is to blame larger forces, usually involving the United States. Adding to this peculiar negative mix, Chinese elites and public opinion remain heavily influenced by prevailing Chinese media and other emphasis on China's historic victimization at the hands of outside powers like the United States, Japan, and others. They are quick to find offense and impervious of the need for change and recognition of fault on their part.¹⁷

Arguably Asia's richest country and the key ally of the United States, Japan heads the list of China's most important relationships in the Asia-Pacific. The record shows relations seriously worsened to their lowest point amid widespread Chinese violence, extra-legal trade sanctions, and intimidation well beyond accepted international norms over territorial and resources claims in the East China Sea.¹⁸ India's interest in accommodation with China has been offset by border frictions, and competition for influence among the countries surrounding India and in Southeast Asia and Central Asia.¹⁹ Russian and Chinese interest in close alignment has waxed and waned and has appeared to remain secondary to their respective relationships with the West.²⁰

Relations with Taiwan changed for the better with the election of a new Taiwan government in 2008 bent on reassuring Beijing. The government was re-elected in 2012, but the political opposition in Taiwan

remained sharply critical of recent trends and improved its standing with Taiwan voters.²¹

South Korean opinion of China declined sharply from a high point in 2004, despite close Sino-South Korean economic ties. China's refusal to condemn North Korea's sinking of South Korean warship and North Korea's artillery attack on South Korea in 2010 strongly reinforced anti-China sentiment. Chinese efforts to improve ties with a new South Korean president in 2013 became sidetracked by provocations from North Korea and Chinese advances in disputed territory claimed by South Korea.²²

South China Sea disputed claims are seriously complicating developing Chinese relations with Southeast Asian countries. China's remarkable military modernization raised suspicions on the part of a number of China's neighbors, including such middle powers as Australia.²³ They endeavored to build their own military power, and work cooperatively with one another and the United States in the face of China's military advances.

Beijing has depended heavily on the direction and support of the Chinese government to advance its influence on the post-Cold War period. Nongovernment channels of communication and influence have been limited on account of China's repeated aggression against neighbors during the Cold War. So-called overseas Chinese communities in southeast Asian countries have represented political forces supportive of their home country's good relations with China, but those same communities have a long and often negative history in southeast Asian countries.²⁴

The areas of greatest Chinese strength in Asia—economic relations and diplomacy—also have shown limitations and complications.²⁵ As half of Chinese

trade is conducted by foreign invested enterprises in China, the resulting processing trade sees China often add only a small amount to the product; and the finished product often depends on sales to the United States or the European Union. A Singapore ambassador told Chinese media in August 2013 that 60 percent of the goods that are exported from China and Association of Southeast Asian Nations (ASEAN) are ultimately manufactures that go to the United States, Europe, and Japan. Only 22 percent of these goods stay in the China-ASEAN region.²⁶ These facts seemed to underscore Chinese interdependence with the United States and allied countries. Meanwhile, the large amount of Asian and international investment that went to China did not go to other Asian countries, hurting their economic development. What is known shows that actual China's aid (as opposed to financing that will be repaid in money or commodities) to Asia is very small, especially in comparison to other donors, with the exception of Chinese aid to North Korea and, at least until recently, Myanmar. The sometimes dizzying array of agreements in the active Chinese diplomacy in Asia did not hide the fact that China remained reluctant to undertake significant costs, risks, or commitments in dealing with difficult regional issues.

North Korea is a special case in Chinese foreign relations. China provides considerable food aid, oil, and other material support. China is North Korea's largest trading partner and foreign investor. China often shields Pyongyang from U.S.-led efforts at the United Nations to sanction or otherwise punish North Korea over its egregious violations of international norms. Nevertheless, North Korea repeatedly rejects Chinese advice and warnings. At bottom, Chinese leaders are

loath to cut off their aid or otherwise increase pressure on North Korea for fear of a backlash from the Pyongyang regime that would undermine Chinese interest in preserving stability on the Korean peninsula.²⁷

U.S. Leadership and China's Rise.

Comparing the previously mentioned Chinese strengths and limits with those of the United States listed here underlines how far China has to go despite over 2 decades of efforts to secure its position in Asia. Without a secure periphery and facing formidable American presence and influence, China almost certainly calculates that seriously confronting the United States poses grave dangers for the PRC regime.²⁸

The foreign policies of the George W. Bush administration were very unpopular with regional elites and public opinion, weakening the U.S. position in the Asia-Pacific region. As the Obama administration has refocused U.S. attention positively on the region, regional concerns shifted to worry that U.S. budget difficulties and political gridlock in Washington seemed to undermine the ability of the United States to sustain support for regional responsibilities.

The following factors provide the main U.S. strengths in the Asia-Pacific region:²⁹

- Governments are strong and viable in most of Asia; they make the decisions that determine direction in foreign affairs. In general, the officials see their governments' legitimacy and success resting on nation-building and economic development, which require a stable and secure international environment. Unfortunately, Asia is not particularly stable, and most regional governments privately are wary of and tend

not to trust each other. As a result, they look to the United States to provide the security they need. They recognize that the U.S. security role is very expensive and involves great risk, including large scale casualties if necessary. They also recognize that neither China, nor any other Asian power or coalition of powers, is able or willing to undertake even a fraction of these risks, costs, and responsibilities.

- Support for the nation-building priority of most Asian governments involves export-oriented growth. The United States has run a massive trade deficit with China, and a total annual trade deficit with Asia valued at over \$350 billion. Asian government officials recognize that China, which runs an overall trade surplus, and other trading partners of Asia are unwilling and unable to bear even a fraction of the cost of such large trade deficits, that nonetheless are very important for Asia governments.
- Effective in interaction with Asia's powers was a notable achievement of the Bush administration. The Obama administration has built on these strengths. Its emphasis on consultation and inclusion of international stakeholders before coming to policy decisions on issues of importance to Asia and the Pacific has been broadly welcomed. Meanwhile, U.S. military security and intelligence organizations have grown uniquely influential, with wide ranging webs of security and intelligence relationships.
- Reinforcing overall U.S. influence are uniquely powerful and long-standing American business, religious, educational, media, and other nongovernment interactions. Almost 50 years

of generally color-blind U.S. immigration policy since the ending of discriminatory U.S. restrictions on Asian immigration in 1965 has resulted in the influx of millions of Asia-Pacific migrants who call America home and who interact with their countries of origin in ways that undergird and reflect well on the American position in the region.

- The success of U.S. efforts to build webs of security-related and other relationships with Asia-Pacific countries has to do in part with active contingency planning by many Asia-Pacific governments. As power relations change in the region, notably on account of China's rise, regional governments generally seek to work positively and pragmatically with rising China on the one hand; but on the other, they seek the reassurance of close security, intelligence, and other ties with the United States amid evidence that rising China shifts to more assertiveness. The U.S. concern to keep stability while fostering economic growth overlaps constructively with the priorities of the vast majority of regional governments.

A CLOSER LOOK AT CHINA'S CURRENT CHALLENGE TO THE UNITED STATES

The Obama administration has more than 5 years of experience dealing with rising China. The experience shows that U.S. expectations of significant breakthroughs in the relations are justifiably low. The Chinese have proven to be difficult partners. Worst case thinking about U.S. intentions is married with media-propaganda campaigns establishing China's identity

as resisting many aspects of American leadership. The government-sponsored outlets provide an array of information that demonizes American intentions while reinforcing Chinese self-righteousness.³⁰

As Chinese capabilities grow, Beijing is likely to take actions that will further challenge the international order supported by the United States.³¹ The challenges to the security and stability in the Asia-Pacific have been clear and seem primed to continue and perhaps advance. China's erosion of international economic norms is more hidden. China seems to support free trade by the United States and others in its ongoing efforts to exploit this open environment with state-directed means, widespread theft, intimidation, and coercion of companies and governments in a wholesale grasp of technology, know-how, capital, and competitive advantage in a head long drive for economic development at the expense of others.

Americans will face continuing impediments from China in dealing with nuclear proliferation by North Korea and Iran; China was of little help in dealing with Syria's use of chemical weapons or Russia's annexation of Crimea and coercion of Ukraine. Chinese leaders remain determined to support the Leninist one-party system in China that treats human rights selectively and capriciously, with eyes focused on sustaining the Communist state.

Taken together, these issues represent the focus of the China challenge for the United States in the immediate period ahead. They promise numerous headaches and problems for U.S. policymakers; American officials may grow somewhat weary in efforts to deal with various Chinese probes and machinations. However, the previously mentioned assessment shows that the China challenge is not a fundamental one, at least

not yet. The United States can have some confidence that prevailing circumstances and constraints seem to preclude China seeking confrontation or power shift in Asia. Some aver that China has adopted a slow and steady pace as it seeks to spread its influence and undermine that of the United States, especially in the all important Asia-Pacific region.³² Maybe so, but the record of Chinese advances over the past 25 years shows such mediocre results and conflicted approaches that the prospect of Chinese leadership in the Asia-Pacific region seems remote. More likely, China will continue to rise in the shadow of a United States increasingly integrated among a wide range of independent-minded Asian-Pacific governments viewing the United States as critically important to their stability, growth, and independence.

IMPLICATIONS OF THE SCENARIOS FOR U.S.-CHINESE RELATIONS

The three scenarios or “alternative futures” that provide a focus for this book rightly concentrate on Chinese military power and activity, which represents an important determinant in U.S.-Chinese relations. Of course, the U.S.-Chinese relationship has been and will continue to be influenced by several determinants on the Chinese and U.S. sides. For example, the 2012 U.S. presidential campaign showed that Chinese economic practices were no longer the positive force of the past in promoting convergence between Washington and Beijing. They topped the list of American criticisms of China—a trend likely to continue along with Beijing’s continued exploitation of the international free market system in ways that disadvantage the United States.³³ Meanwhile, American ideologi-

cal antipathy regarding China's Communist system reached extraordinary height in the decade after the Tiananmen crackdown—driving an enormous wedge between the United States and China that explains to a considerable degree the distrust prevailing in the current relationship over 20 years later.

Against that background, this section addresses the implications for future U.S.-Chinese relations of the three scenarios. It does so with the understanding that the military scenarios reflect elements important in determining the degree of convergence or divergence between the United States and China, but other factors not considered in these scenarios also may be important in influencing the degree of convergence and divergence in the relationship. Where appropriate, I will note such factors in the discussion.

As seen in the discussion, I find the first alternative future more clearly defined and more realistic than the other two. It provides an opportunity for some detailed forecasting. The other two scenarios are plausible. They depart greatly from the current context and are broadly defined. As such, they allow for general considerations but less detailed forecasting.

Alternative Future 1: A PLA Focused on Regional Issues.

The People's Liberation Army (PLA) buildup is an obvious challenge to the United States. As in the recent past, an effective U.S. response can help to keep tensions manageable.

This scenario seems to imply that China remains encumbered in its protracted rise in Asia. It shows no substantial change in China's overall approach to the region, including the strong self-righteousness and

narrow win-win mindset seen in the recent past. As in the recent past, the U.S.-China tensions over the Obama administration's rebalancing policies and over economic, political, nonproliferation, and other differences probably will not reach the point of conflict. If Chinese and U.S. leaders remain preoccupied with other issues at home and abroad, and as expected interdependence and possibly cooperation grow between the two sides, tensions over differences can be managed effectively.

If the United States somehow has rebounded from its recent problems and resumes the kind of highly competitive activist international role seen at times after the Cold War, there is a danger of confrontation and crisis caused by greater U.S. pressure on areas of difference with China. More likely on the U.S. side is the kind of engagement policy toward both the Asia-Pacific region and China seen in the Obama administration's rebalancing policy initiatives. The reasons seem obvious and strong:

- The region is an area of ever greater strategic and economic importance for the United States;
- The United States remains strongly committed to long-standing U.S. goals of supporting stability and balance of power; sustaining smooth economic access; and promoting U.S. values in this increasingly important world area.

Future dynamics in Asia are seen as determined by five sets of factors:³⁴

1. The changing power relationships among Asia's leading countries (e.g., the rise of China and India; changes in Japan; rising or reviving middle powers—South Korea, Indonesia, and Australia).

2. The growing impact of economic globalization and related international information interchange.

3. The ebb and flow of tensions in the Korean peninsula, southwestern Asia, and the broader U.S.-backed efforts against terrorism and proliferation of weapons of mass destruction.

4. The rise of Asian multilateralism.

5. The changing extent of U.S. engagement with and withdrawal from involvement with Asian matters.

In addition, a survey of leadership debates over foreign policy among Asian-Pacific leaders³⁵ shows movement toward perspectives of realism in international relations theory in the United States, China, Japan, Russia, India, and several middle and smaller powers including Indonesia, Australia, South Korea, Vietnam, Malaysia, and Singapore.³⁶ Such perspectives are important in how these leaders view the changing power dynamics and security issues seen notably in factors 1, 3, and 5. At bottom, the United States can best understand Chinese actions by using a realist perspective.

While vigilant regarding changing circumstances that could have an impact on their security, sovereignty, and other important interests, the Chinese government leaders also clearly recognize the importance of economic development, the lynchpin of their political legitimacy. Thus, they endeavor to use the liberal international economic order in ways that benefit them and their countries, and in so doing, they subscribe in various ways and to varying degrees to aspects of liberalism in international relations theory. As noted earlier, such Chinese use of liberalism is best seen as serving the realist approaches of Beijing's leaders to build Chinese wealth and power in world affairs.

Asian-Pacific leaders also show support for aspects of the international relations theory of constructivism. Such support is manifest in their ongoing efforts to build regional and international organizations and to support international norms as effective means to manage interstate tensions and differences and to promote greater interstate cooperation. Domestically, most Asian-Pacific governments also foster a strong identity for their nation as an independent actor in regional and global affairs representing the interests and qualities of the peoples of their respective countries. Supporting such an identity is an important element in their continued political legitimacy.³⁷ Again, the Chinese practice is to use stronger identity and involvement in international organizations in large measure to support along the lines of realist thinking regime goals of preservation and developing wealth and power.

A continuation of the type of U.S. engagement policy seen in the Obama administration's rebalancing initiatives fits well with most of these regional dynamics. The U.S. strengths look even stronger when compared with China's recent and likely future approaches.

Like China and other Asian governments, the United States also relies heavily on a realist perspective in its involvement in the Asia-Pacific. America has a proven record of bearing the costs and risks of sustaining regional stability that is essential for the development and nation-building sought by the regional government leaders. The United States takes these actions not so much because of liberal or constructivist beliefs, but rather out of a broad sense of American national interest tied to the ever more important regional order in the Asia-Pacific.

At present and for the foreseeable future, there is little perceived danger of offensive U.S. military, economic, or other policy actions amid repeated stress by American leaders against unilateral change in the status quo. By contrast, China has accompanied its rise in regional prominence with a conflicted message of closer economic cooperation on a mutually beneficial (win-win) basis and often strident Chinese threats and coercive actions backed by civilian and military government power against neighbors that disagree with China, especially on issues of sovereignty and security. The fact that China's stridency on these matters has grown with the expansion of coercive civilian and military power alarms many Asian neighbors who seek reassurance from closer relations with the United States in a variety of forms, thereby deepening and strengthening the American integration with the region.

Meanwhile, Chinese leaders continue focus on a narrow win-set of Chinese interests. They avoid the kinds of costs and risks borne by the United States in support of perceived American interests in the broader regional order that are well recognized by regional governments, reinforcing the regional governments' support for closer American involvement in regional affairs. Asian leaders watch closely for signs of U.S. military withdrawal or flagging American interest in sustaining regional stability. The Obama administration has affirmed its commitment to sustain the robust American security presence involving close military cooperation with the vast majority of Asian-Pacific governments built during the post-Cold War period. This engagement builds on the strong engagement efforts of the Bill Clinton and George W. Bush administrations, enjoys bipartisan political support in

Congress and seems likely to continue for the reasons noted earlier.

China's role as a trader, site for investment, and increasing important foreign investor will continue to grow in regional affairs. Unlike the United States, China has a great deal of money that could be used to the benefit of its neighbors. The governments engage in sometimes protracted talks with Chinese counterparts to find ways to use the money consistent with China's ubiquitous win-win formula. In general, China will part with its money only if there is assurance that it will be paid back, and the endeavor will support China's narrow win-set. China's location and advancing infrastructure connecting China to its neighbors are major positive attributes supporting closer Chinese relations with neighboring states.

Of course, much of the trade remains dependent on foreign investment and access to markets in the United States in particular. The United States almost certainly will not quickly reverse the large trade deficit that undergirds the export-oriented economies of the region. Asian leaders are watchful for signs of American protectionism, but the continued American economic recovery reinforces support for enhanced free trade initiatives from the United States.

By contrast, China's commitment to free trade remains selective and narrow. Beijing's tendency to go well beyond international norms in retaliating against others over trade and other issues has grown with the advance of China's economic size and influence. Its cyber theft of trade and economic information and property is enormous. Its currency manipulation and other neo-mercantilist practices are used deliberately to advance China's economy without much consideration of how they disadvantage neighboring economies along with the United States. China's recent

extraordinary pressure on Japan for the sake of territorial claims risks enormous negative consequences for the regional economic growth. In contrast, the United States probably will see its interests best served in endeavoring to calm the tensions and play a role of stabilizer highly valued by most regional governments.

The growing U.S. security, economic, and political relationships with the wide range of Asian-Pacific governments built by the Clinton, Bush and Obama administrations have the effect of strengthening these governments and countries, reinforcing their independence and identity. While many of these governments continue to disagree with U.S. policies regarding the Middle East Peace process, electronic spying, and other issues, American interest in preserving a favorable balance of power in the region is supported by the prevalence of such stronger independent actors. By contrast, China's assertiveness shows its neighbors that Beijing expects them to accommodate a growing range of Chinese concerns, even to the point of sacrificing territory.

The range of Chinese demands probably will broaden with the growth of Chinese military, economic, and other coercive power. Strengthening those in the region that resist China's pressure is seen in Beijing as a hostile act. The recent willingness of the Obama administration to strengthen security and other ties with Japan, the Philippines, and other countries facing Chinese coercion and intimidation shows the kinds of actions that can be taken effectively by the United States to demonstrate to Beijing the significant downsides of its assertive "nibbling" of territory also claimed by China's neighbors. Overtime, effective U.S. reassurance and resolve can shape and direct Chinese assertiveness along less disruptive paths.

It is important to reiterate here that most Asian-Pacific governments probably will expect the U.S. Government to carry out its improvement of relations in the region in ways that do not seriously exacerbate China-U.S. tensions and thereby disrupt the Asia-Pacific region. The Obama administration has used the positive incentives of top-level engagement efforts with China along with the negative incentives of firm support of allies facing Chinese pressure and has a variety of other such carrots and sticks in its foreign policy tool box.

The Obama administration has also advanced markedly U.S. relations with the various regional organizations valued by Asian governments as part of their “constructivist” efforts to create norms and build institutions to ease interstate rivalries and promote cooperative relations. While U.S. orientation tends to follow more realist lines to advance American influence, the Obama administration seems sincere in pursuing interchange that is respectful of the regional bodies. These initiatives enjoy broad bipartisan support in the Congress and are likely to continue. China also depicts close alignment with these groups, though Chinese more assertive ambitions regarding disputed territories have seen Chinese leaders grossly manipulate these bodies or resort to coercion and intimidation.

Bottom Line.

This scenario suggests a continuation of trends seen in recent years in China’s rise in Asia and the broader American leadership role in the Asian-Pacific region that have been examined here. I assess that those circumstances will continue to encumber China and preoccupy Chinese leaders who will remain cautious

and unwilling to engage in serious military confrontation with the United States. The circumstances also are seen to support a stronger American leadership position increasingly well integrated with regional governments and organizations.

Wild Cards.

Heading the long list of variables that could disrupt the previously mentioned assessment are the actions of third parties and their impact on U.S.-Chinese relations. These include new leaders in Taiwan, Japan, India, and Southeast Asian states who may take actions that could provoke confrontation with China. In response to repeated challenges posed by leaders in Taiwan and Japan in the recent past, U.S. and Chinese maneuvers have sometimes raised tensions but have avoided confrontation. There is no guarantee that future challenges will be dealt with in this way, but the ability of the big powers to influence the lesser powers and the desire to avoid disastrous Sino-American war support a more optimistic than pessimistic outlook on these possible problems. More worrisome and uncertain is the situation in North Korea. The North Korean leaders are capable of wide swings in behavior and the underlying stability of the regime remains in doubt. The collapse of the North Korea state would pose an enormous challenge to American and Chinese policymakers seemingly well beyond the scope and intensity of past crises during the post-Cold War period.

Alternative Future 2: A Global Expeditionary PLA.

The implications of this scenario depend greatly on how and why the PLA shifted to power projection beyond China's periphery. There are a wide range of possibilities ranging from those with very positive implications for U.S.-Chinese relations to those with very negative implications for U.S.-Chinese relations.

At one end of the spectrum, the global expeditionary PLA could be the result of a peaceful and mutually agreeable understanding over Taiwan that was welcomed by such concerned powers as the United States and Japan. It could be accompanied by effective Chinese reassurance of its neighbors and the United States that their interests would remain secure. Against that background, the PLA activism could be seen as part of greater international cooperation by a confident China ready and willing to work closely with the United States and others in fostering international peace and stability. The distrust that has prevailed in Sino-American relations for so long would dissipate with ever greater U.S.-Chinese coordination on peace building and stabilization in troubled regions of the world.

At the other end of the spectrum, a globally expeditionary PLA could be the result of successful Chinese coercion and intimidation of Taiwan, and perhaps Japan and other neighbors, in the context of weakening American leadership in the Asia-Pacific. In effect, China will have used coercion, intimidation, and other manifestations of growing power to break through the encumbrances to China's sovereignty and security ambitions in the Asia-Pacific region. Against that background, the globally expeditionary PLA would signal great expansion of Chinese scope and activism as China endeavors to alter the world order in its fa-

vor after having successfully consolidated dominance in the Asia-Pacific, pushing out the United States.

The implications of this outcome for American interests in the Asia-Pacific and the world seem quite negative, but the outcome for U.S.-Chinese relations could vary. In particular, America may give way to Chinese ambitions and seek agreement with Beijing on divided world leadership that may satisfy China, perhaps for some time. There presumably will be a variety of international, economic and other areas where the United States and China could deepen cooperation. A key obstacle would be the need to overcome long-standing American prejudice against appeasement as a tool of statecraft, but the circumstances could support an appeasement of rising China. A more contentious outcome would result if the United States fell back from China's periphery but continued to resist Chinese expansion from off-shore in the Asia-Pacific and elsewhere. The success of this approach would require overcoming international skepticism of American power that failed to thwart the advance of coercive Chinese power in the Asia-Pacific.

A development to consider in any scenario of a globally engaged PLA is how such a new presence, whether the result of benign or adverse circumstances for America, will affect U.S. interests. Even under the optimistic possibility noted here, China's presence will compel a reduction of U.S. international security leadership in the face of an expeditionary PLA. Whether or not U.S. leaders will make the adjustment smoothly remains uncertain, though the optimistic possibility shows circumstances that would support pragmatic adjustment and accommodation in the face of new power realities.

Alternative Future 3: A Weakened PLA.

This scenario could arise because of pressure from the United States. It also could arise mainly because of domestic and other external factors undermining the Chinese Communist Party (CCP) regime. In both cases, it is logical to expect more U.S. interference and pressure, so long as the CCP regime persists. The continuation of the CCP regime matters greatly in future U.S.-Chinese relations. Broad American antipathy to China's authoritarian Communist system has remained strong for decades and is likely to continue to drive American policy. At the same time, it is not in American interests that regime change in China comes with major disruption to regional and global peace and prosperity. At bottom, in this scenario, continuing U.S. practices that weakened the PLA and other security bulwarks of the Communist government without causing governance collapse leading to widespread chaos seem in line with American objectives. Finding this proper balance will be difficult.

These scenarios of weakened and preoccupied Chinese Communist leaders probably mean greater American involvement in the Asia-Pacific. Chinese domestic concerns probably will open the way to expanding American engagement, while concerns of regional governments with China's uncertain future will likely prompt ever closer consultations among them and the United States.

A non-Communist China moving toward political pluralism and democracy probably will be much better treated by the United States than the current CCP regime. Such a non-Communist regime in China probably could expect strong U.S. support to deal with internal problems and less, if any, U.S. pressure.

The United States also could be expected to use its enhanced involvement in the Asia-Pacific to work closely with concerned regional powers to stabilize and support such a non-Communist Chinese government.

ENDNOTES - CHAPTER 11

1. This section summarizes findings in Robert Sutter, *U.S.-Chinese Relations*, Lanham MD: Rowman and Littlefield, 2013. For other perspectives, see, among others, David Shambaugh, ed., *Tangled Titans*, Lanham, MD: Rowman and Littlefield, 2012.

2. Don Keyser "President Obama's Re-election: Outlook for U.S. China Relations in the Second Term," Nottingham, UK: Nottingham University, China Policy Institute, November 7, 2012.

3. *Balancing Acts*, Washington, DC: Elliott School of International Affairs, 2013, p. 39, available from www2.gwu.edu/~sigur/assets/docs/BalancingActs_Compiled1.pdf.

4. Kenneth Lieberthal and Wang Jisi, *Addressing U.S.-China Strategic Distrust*, Washington, DC: The Brookings Institution, March 2012.

5. David Shambaugh, "The Rocky Road Ahead in U.S.-China Relations," *China-U.S. Focus*, October 23, 2012, available from www.chinausfocus.com/print/?id=20902.

6. This author participated in consultations in Washington, DC, involving groups of visiting Chinese specialists assessing U.S.-China relations after the U.S. elections and groups of concerned American specialists, November 8, 15, and 16, 2012.

7. *Balancing Acts*, pp. 7-10.

8. Among treatments of this subject, see Timothy Adamson "China's Response to the U.S. Rebalance," in *Balancing Acts*, pp. 39-43. See also tri-annual coverage of these issues in articles in *Comparative Connections*, available from www.csis.org/pacfor.

9. Aaron L. Friedberg, *Contest for Supremacy. China, America and the Struggle for Mastery in Asia*, New York: W. W. Norton and Company, 2011; Hugh White, "The China Choice" book review by Andrew Nathan, *Foreign Affairs* January-February 2013, available from www.foreignaffairs.com/articles/138661/hugh-white/the-china-choice-why-america-should-share-power.

10. See the treatment, among others, in Andrew J. Nathan and Andrew Scobell, *China's Search for Security*, New York: Columbia University Press, 2012. See also treatment of Chinese constraints in Sutter, *U.S.-Chinese Relations*, pp. 275-286; and Robert Sutter, "China and America: The Great Divergence?" *Orbis*, Vol. 58, No. 3, Summer 2014, pp. 1-18.

11. Stephen Roach, "China's Policy Disharmony," *Project Syndicate*, December 31, 2013, available from www.project-syndicate.org.

12. Robert Sutter, "China and U.S. Security and Economic Interests: Opportunities and Challenges," Robert Ross and Oystein Tunsjo, eds., *U.S.-China-EU Relations: Managing The New World Order*, London, UK: Routledge, 2010, pp. 143-163; James Shinn, *Weaving the Net*, New York, Council on Foreign Relations, 1996.

13. Phillip Saunders, *China's Global Activism: Strategy, Drivers, and Tools*, Institute for National Strategic Studies Occasional Paper, Washington, DC: National Defense University Press, June 4, 2006, pp. 8-9.

14. This section summarizes findings in Robert Sutter, *Foreign Relations of the PRC*, Lanham, MD: Rowman and Littlefield, 2013, pp. 1-26, 311-327.

15. *Ibid.*, p. 315.

16. John Garver, *Foreign Relations of the People's Republic of China*, Englewood Cliff, NJ: Prentice Hall, 1993.

17. Gilbert Rozman, *East Asian National Identities: Common Roots and Chinese Exceptionalism*, Stanford, CA: Stanford University Press, 2013.

18. James Przystup, "Japan-China Relations," *Comparative Connections*, Vol. 14, No. 3, January 2013, pp. 109-117.

19. Lawrence Saez and Crystal Chang, "China and South Asia: Strategic Implications and Economic Imperatives," Lowell Dittmer and George Yu. eds., *China, The Developing World, and the New Global Dynamic*, Boulder CO: Lynne Rienner, 2010, pp. 83-108; John Garver and Fei-ling Wang, "China's Anti-Encirclement Struggle," *Asian Security*, Vol. 6, No. 3, 2010, pp. 238-263; Satu Limaye, "India-US Relations," *Comparative Connections*, Vol. 15, No. 3, January 2014, pp 137-143.

20. Yu Bin, "China-Russia Relations: Guns and Games of August: Tales of Two Strategic Partners," *Comparative Connections*, Vol. 10, No. 3, October 2008, pp. 131-38; Yu Bin, "China-Russia Relations," *Comparative Connections*, Vol. 15, No. 3, January 2014, pp. 121-133.

21. Richard Bush, *Uncharted Strait*, Washington, DC: The Brookings Institution, 2013.

22. Scott Snyder, "China-Korea Relations," *Comparative Connections*, Vol. 15, No. 3, January 2014, pp. 87-94.

23. Linda Jacobson, "Australia-China Ties: In Search of Political Trust," *Policy Brief*, Lowy Institute, June 2012.

24. Sutter, *Foreign Relations of the PRC*, p. 319.

25. Yu Yongding, "A Different Road Forward," *China Daily*, December 23, 2010, p. 9.

26. Pu Zhendong, "Singapore Supports Strengthened Free-Trade Agreement with Beijing," *China Daily*, August 30, 2013, available from usa.chinadaily.com.cn/epaper/2013-08/30/content_16932418.htm.

27. Jonathan Pollack, "Why Does China Coddle North Korea?" *The New York Times*, January 12, 2014, available from www.nytimes.org; Scott Snyder, "China's Post-Kim Jong Il Debate," *Comparative Connections*, Vol. 14, No. 1, 2012, pp. 107-114.

28. Robert Sutter, "Assessing China's Rise and U.S. Influence in Asia—Growing Maturity and Balance," *Journal of Contemporary China*, Vol. 19, No. 65, June 2010, pp. 591-604.

29. Author's findings based on interviews with more than 200 officials from 10 Asian-Pacific countries discussed most recently in Sutter, *Foreign Relations of the PRC*, pp. 321-326.

30. Gilbert Rozman, "Chinese National Identity and Foreign Policy," Gilbert Rozman, ed., *China's Foreign Policy*, Seoul, South Korea: The Asan Institute for Policy Studies, 2012, pp. 151-182.

31. For a review of the issues and disputes, see Susan Lawrence, *U.S.-China Relations: An Overview of Policy Issues*, Report R41108, Washington, DC: Congressional Research Service of the Library of Congress, August 1, 2013.

32. Friedberg, *Contest for Supremacy*.

33. Richard Wike, "Americans and Chinese Grow More Wary of Each Other," Washington, DC: Pew Research Center, June 13, 2013, available from www.pewresearch.org/fact-tank/2013/06/05/americans-and-chinese-grow-more-wary-of-each-other/.

34. Robert Sutter, *The United States in Asia*, Lanham, MD: Rowman and Littlefield, 2009, pp. 154-166; Suisheng Zhao, "Shaping the Regional Context of China's Rise: How the Obama Administration Brought Back Hedge in its Engagement with China," *Journal of Contemporary China*, Vol. 21, No. 75, May 2012, pp. 369-390; Robert Sutter, "Rebalancing, China and Asian Dynamics—Obama's Good Fit," *Pacnet #1*, Washington, DC: Center for Strategic and International Studies, January 5, 2014, available from www.csis.org/pacfor.

35. Henry Nau and Deepa Ollapally, *World Views of Aspiring Powers*, New York: Oxford, 2012.

36. Author interviews in *Foreign Relations of the PRC*.

37. Rozman, *East Asian National Identities*.